

But, she had made a one-time investment, she thought. So she called her bank relationship manager. He had gone. Another smart slick-suit was there who told her that if she did not make the payment she'd lose the entire investment to costs (which she was not told at the time of investment). She protested. You signed the policy, so you should have known this, was the pushback. Kanchan was devastated. Artists' incomes are erratic and she had been banking on this money to fund her son's education, and now it was gone. As a single parent, the blow was even harder. There was nobody to fall back upon.

Chances are that you've already had at least one bad insurance experience by now. Either you would have got back a pittance after faithfully servicing your policy for twenty years, or you would have got trapped in a product you did not want. Or been brazenly lied to and left holding a dud product. Why do they cheat and what can you do to stay safe? Do you really need an insurance cover? What about the tax break – how will you get that if you don't buy another policy?

I'm going to take each question and then leave you with some very simple dos and don'ts. You need to treat the insurance industry and those who sell the same like walking through reptile-infested waters; you need to stay on the path that is safe. They're out to get you. You need to look after your money. I'm not joking.

Why you need a life cover

Not to save taxes, not for a secure retirement, not because the ad agency put together images of happy families doing cool things together. Not because you are arm-twisted into buying a policy by a family member, a friend, a neighbour, your bank or just a very 'won't-take-no-for-an-answer' agent.

One night I got a call from Richa Agnihotri, a friend. She used to teach physics at that time and is nobody's fool, not the usual 'I-can't-do-numbers' person at all. But that day she sounded a bit hysterical. 'He's not going, Monika. Will you talk to him?'